Amendment No. 1 to HB1061

Kumar
Signature of Sponsor

**AMEND Senate Bill No. 1376 House Bill No. 1061***

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 56, Chapter 7, Part 23, is amended by adding the following new section:

(a) As used in this section:

(1) "Ambulance provider":

(A) Means an agency, including an agency of a political subdivision of this state, or a company that is operating under a valid license from the emergency medical services board, and that provides ambulance services; and

(B) Does not include an air ambulance service;

(2) "Ambulance service" means the principal use of a privately or publicly owned ambulance for emergency or non-emergency transportation of injured or infirm persons with an emergency medical condition;

(3) "Balance billing" or "balance bill" means the practice of charging an enrollee in a health benefit plan to recover from the enrollee the balance of an ambulance service provider's fee for transportation received by the enrollee for ambulance service that exceeds the reimbursable amount for such service under the enrollee's health benefit plan;

(4) "Clean claim" means a claim for reimbursement of service rendered by an ambulance provider that has no defect of impropriety, including any lack of

required substantiating documentation, which would reasonably prevent timely payment for a claim;

(5) "Emergency medical condition" means a medical condition that manifests itself by symptoms of sufficient severity, including severe pain, regardless of the final diagnosis of the symptoms, that a prudent layperson, who possesses an average knowledge of health and medicine, could reasonably expect the absence of immediate medical attention to potentially result in:

(A) Placing the person's health in serious jeopardy;

(B) Serious impairment to bodily functions; or

(C) Serious dysfunction of a bodily organ or part;

(6) "Health benefit plan":

(A) Has the same meaning as defined in § 56-7-2355; and

(B) Does not include the TennCare program or a successor medicaid program provided for in title 71, chapter 5; the CoverKids Act of 2006, compiled in title 71, chapter 3, part 11; or the group insurance plans offered under title 8, chapter 27; and

(7) "Health insurer" means an entity offering a health benefit plan.

(b) On and after July 1, 2026, an out-of-network ambulance provider shall not balance bill an enrollee of a health benefit plan for ambulance services that are covered services under the enrollee's health benefit plan.

(c)

(1) A health insurer satisfies the health insurer's obligation to pay for out-of-network ambulance services if the health insurer pays the minimum allowable reimbursement rate under the health benefit plan for covered service to an out-of-network ambulance provider, which must be the rate agreed to by contract or through passage of an ordinance, resolution, rule, or regulation by a county,

municipality, special district, or authority for such service within the respective jurisdiction.

(2) When an agreement or applicable ordinance, rule, or regulation regarding a minimum reimbursement rate does not exist as set forth in subdivision (c)(1), the minimum allowable reimbursement amount is the lesser of:

(A) The ambulance provider's billed charges; or

(B) Four hundred twenty-five percent (425%) of the current published medicare rate for ambulance services for the same service level and mileage provided in the same geographic area at the time of the transport.

(d) A health insurer shall treat a cost-sharing amount determined under subdivision (c)(1) or (c)(2) paid by the enrollee for out-of-network ambulance services in the same manner as cost-sharing for in-network ambulance services and must apply the cost-sharing amount paid by the enrollee for such services toward the enrollee's deductible and maximum out-of-pocket payment obligation under the enrollee's health benefit plan, as applicable.

(e) Any payment made to an ambulance provider pursuant to this section releases a covered person from any further payment responsibility other than any copayment, coinsurance, or deductible owed by the covered person under the covered person's health benefit plan.

(f) An ambulance provider shall not request or require an enrollee to sign or otherwise execute by oral, written, or electronic means, a document that would attempt to void, waive, or alter the requirements of this section.

(g) No later than thirty (30) days after the receipt of a clean claim for covered service, a health insurer shall remit payment for such service directly to the ambulance provider and shall not remit any payment to a covered person. When a health insurer receives a claim that is not a clean claim, within thirty (30) days of receipt of such claim, the health insurer shall inform the ambulance provider that:

(1) The health insurer has declined to pay all or part of the claim, including the reasons for such denial; or

(2) Additional information is necessary to make a determination regarding payment of all or part of the claim submitted, including the specific information required.

(h) If an ambulance provider believes that a health insurer has not complied with this section, then the ambulance provider may send a written notice advising the health insurer of the suspected violation of this section. Within fifteen (15) days of receipt of such notice, the health insurer shall comply with this section or notify the ambulance provider of the basis upon which the health insurer relies in denying a violation of this section.

(i) If the ambulance provider and health insurer disagree after the requirements of subsection (h) are met, then the ambulance provider may, within one (1) year from the date of service, file an action against the health insurer in any general sessions court or circuit court for the county in which the service was provided. If the court finds the health insurer violated this section, then the court shall award to the prevailing ambulance provider:

(1) Treble damages; and

(2) Reasonable court costs and attorney fees.

(j) In addition to the penalties and remedies provided in this section, the commissioner of commerce and insurance may enforce this section.

(k) It is the legislative intent of the general assembly that this section regulates the business of insurance such that this section is not subject to federal preemption under the Employee Retirement Income Security Act (ERISA)(29 U.S.C. § 1001 et seq.).

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it.